

Developing essential skills for effective procurement processes

MODULE 5 : PROCUREMENT & CONTRACT MANAGEMENT



OPENING AND CONTEXT



PURPOSE

Strategic Importance of Procurement

Procurement is a core fiduciary function that promotes value for money, fairness, transparency, and accountability in the use of GCF resources.

Institutional Challenges

Institutions often face challenges related to procurement capacity, complex requirements, risk management, and documentation.

Practical Compliance Pathways

This module provides practical guidance to strengthen procurement systems and meet GCF fiduciary requirements.



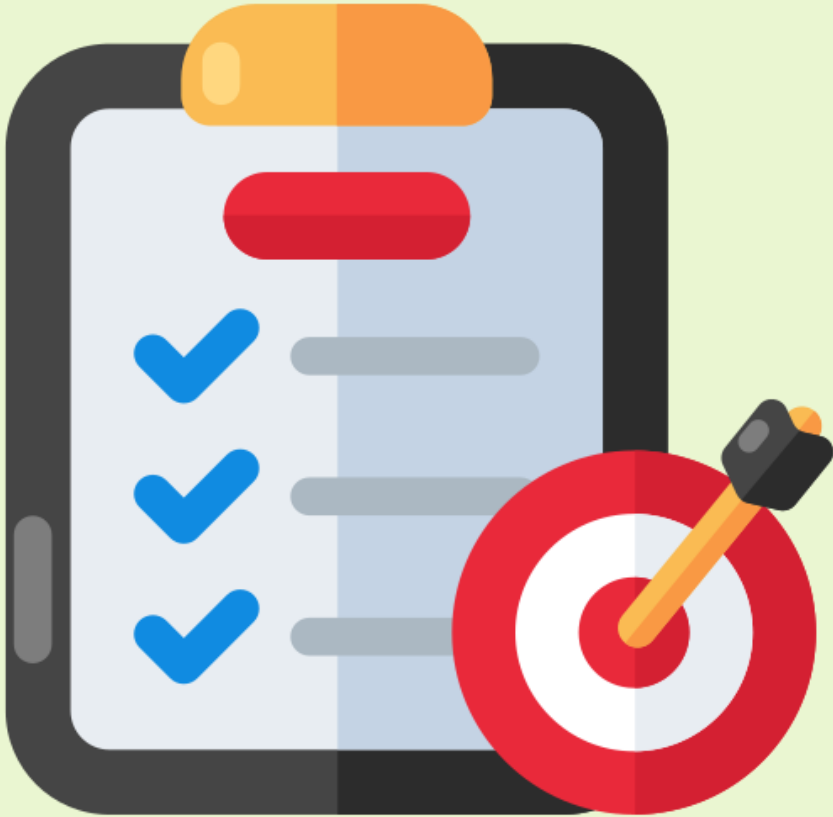
SCOPE

Focus on Procurement

Procurement is a core fiduciary standard essential for entities seeking GCF accreditation and compliance.

Accountability Emphasis

Procurement decisions must be defensible and aligned with fiduciary responsibilities to multiple stakeholders.



OBJECTIVES

Understanding Core Procurement Principles

Grasp the four core GCF procurement principles that form the foundation for all procurement assessments.

Identifying Appropriate Procurement Methods

Learn to select procurement methods correctly based on value and context to ensure consistency and justification.

Recognizing Procurement Gaps and Violations

Develop skills to identify common procurement gaps and violations for honest self-assessment and improvements.



WHY PROCUREMENT MATTERS TO THE GCF



Risks of Weak Procurement

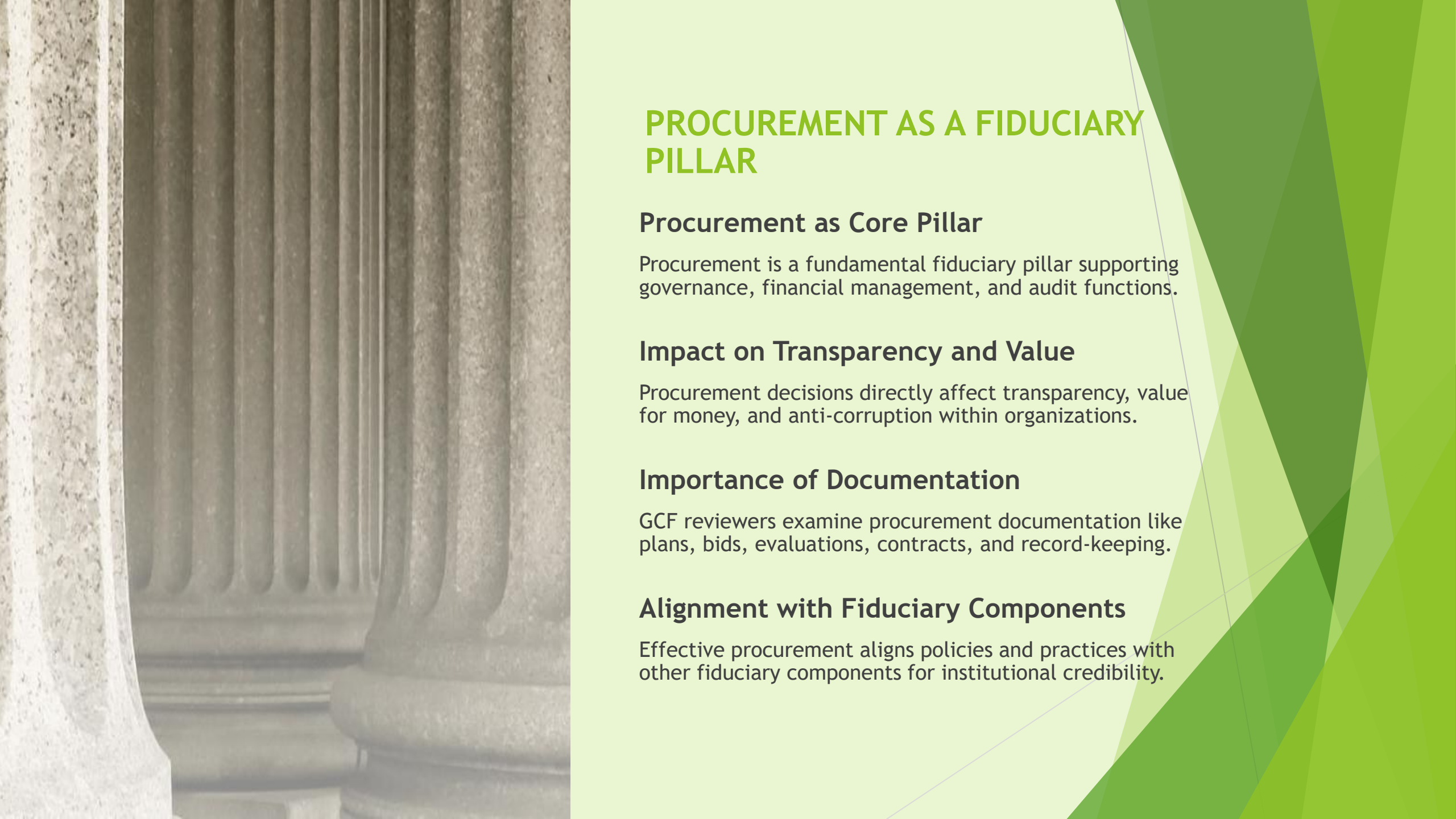
Weak procurement systems cause financial losses and are a common source of audit findings in development finance.

Fiduciary Risk and Accreditation

Poor procurement increases fiduciary risk, leading to accreditation delays or denial by the GCF.

Importance of Strong Systems

Robust procurement safeguards funds, enhances credibility, and ensures delivery of climate and development outcomes.



PROCUREMENT AS A FIDUCIARY PILLAR

Procurement as Core Pillar

Procurement is a fundamental fiduciary pillar supporting governance, financial management, and audit functions.

Impact on Transparency and Value

Procurement decisions directly affect transparency, value for money, and anti-corruption within organizations.

Importance of Documentation

GCF reviewers examine procurement documentation like plans, bids, evaluations, contracts, and record-keeping.

Alignment with Fiduciary Components

Effective procurement aligns policies and practices with other fiduciary components for institutional credibility.



CORE GCF PROCUREMENT PRINCIPLES



OVERVIEW OF THE FOUR CORE PROCUREMENT PRINCIPLES



Open Competition

Open competition allows all qualified suppliers a fair chance to participate, promoting innovation and efficiency.

Transparency

Transparency requires documented procurement processes to ensure accountability and enable audits.

Value for Money

Value for money balances cost, quality, and risk to optimize resource use beyond just lowest price.

Integrity

Integrity ensures ethical conduct by preventing corruption, fraud, and conflicts of interest.



PRINCIPLE 1 - OPEN COMPETITION



Foundation of Procurement

Open competition ensures all qualified suppliers have fair, equal chances to bid for contracts.

Discourages Favoritism

This principle helps prevent favoritism and secures the best solutions at competitive prices.

Exceptions to Competition

Single-source procurement is allowed only in emergencies or for proprietary goods and must be documented.

Market Confidence

Open competition builds market trust, encouraging reputable firms to participate in future tenders.



PRINCIPLE 2 - TRANSPARENCY



Clear and Documented Process

Transparency requires all procurement steps to be clear, documented, and traceable from start to finish.

Audit Trail Importance

A complete audit trail links solicitation, bid submission, evaluation, approval, and contract signing.

Public Accessibility and Fairness

Publishing proposals, evaluation results, and awards helps ensure fairness and public trust.

Fiduciary Compliance

Transparent procedures and consistent documentation meet fiduciary standards and protect officials.



PRINCIPLE 3 - VALUE FOR MONEY



Beyond Lowest Price

Value for money includes quality, technical merit, sustainability, and risk, not just lowest cost.

Risks of Low Cost Focus

Choosing lowest-priced bids without experience can cause delays, poor outcomes, and higher long-term costs.

Structured Evaluation Criteria

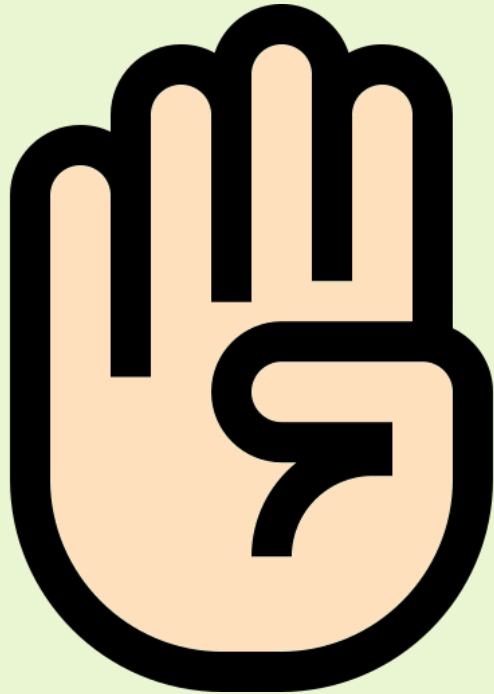
Clearly defined and pre-disclosed evaluation criteria, with transparent weightings (e.g., 70% technical and 30% financial where appropriate), help ensure objective and defensible procurement decisions.

Strategic Procurement Decisions

Documenting value for money shows procurement aligns with project goals, not just transactions.



PRINCIPLE 4 - INTEGRITY



Zero Tolerance Policy

Integrity demands zero tolerance for corruption, fraud, and conflicts of interest in procurement processes.

Conflict of Interest Declarations

All evaluation committee members must sign conflict-of-interest declarations to ensure unbiased decisions.

Maintaining Institutional Reputation

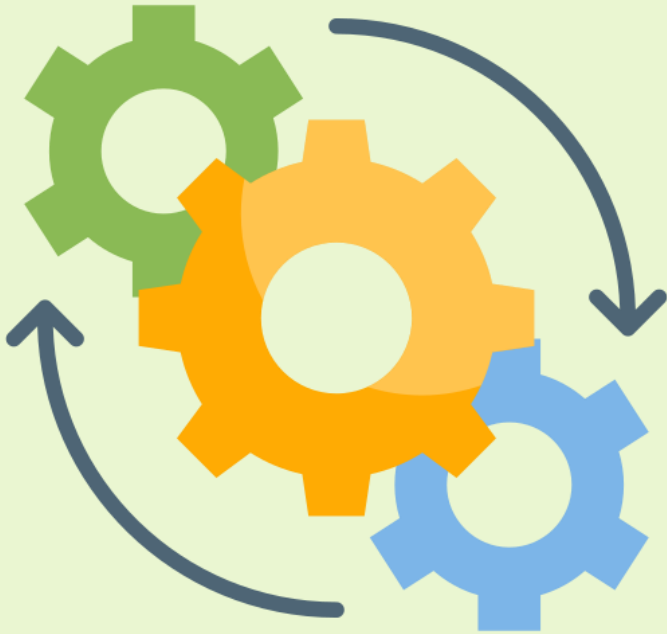
Integrity safeguards financial resources and preserves the institutional reputation and credibility with partners.

Consistent Implementation

Entities must implement integrity policies consistently and maintain records for audits and reviews.



INTERDEPENDENCE OF THE FOUR PRINCIPLES



Mutual Reinforcement

The four procurement principles support and strengthen each other to ensure an effective system.

Risks of Imbalance

Weakness in one principle, like lack of transparency or integrity, undermines trust and effectiveness.

Holistic System Design

Procurement systems must integrate all principles cohesively at every process stage for success.

Systemic Thinking Approach

Understanding interdependence helps diagnose issues and prioritize reforms holistically.



PROCUREMENT SYSTEMS AND GOOD PRACTICE APPROACHES



PROCUREMENT APPROACHES AND GOOD PRACTICES

Procurement Systems (Good Practice Approaches)

Accredited Entities apply procurement approaches such as competitive bidding and request for proposals, based on their internal policies and international good practice. GCF does not prescribe specific methods.

Method Selection Principle

The choice of procurement approach should ensure value for money, fairness, transparency, and efficiency, and be appropriate to the nature and risk of the procurement.

Common Challenges in Accreditation

Frequent issues include inconsistent application of procurement procedures, weak documentation, and inadequate justification for exceptions to competitive processes.

Contextual Application

Procurement approaches must be adapted to project context, while consistently applying fiduciary principles such as transparency, competition, and accountability.





INTERNATIONAL COMPETITIVE BIDDING (ICB)

One Approach within a Procurement System

As part of their procurement systems, entities may use International Competitive Bidding (ICB) for procurements that would benefit from broad market competition and access to international expertise.

Open International Competition

ICB allows eligible firms from multiple countries to compete, increasing competition and expanding access to specialized goods, services, and technical capabilities.

Documentation and Transparency

Effective ICB processes require clear solicitation documents, documented evaluation procedures, and transparent contract award decisions to support accountability and value for money.

Demonstrating Procurement Capacity

The ability to manage ICB effectively provides evidence of strong procurement controls, transparency, and institutional capacity consistent with fiduciary standards.





NATIONAL COMPETITIVE BIDDING (NCB)

Appropriate for National Markets

Where sufficient competition exists within the domestic market, entities may use National Competitive Bidding (NCB) to procure goods, works, or services efficiently while maintaining competition.

Open National Competition

NCB is open to eligible national bidders and can be an effective approach when local suppliers are capable of meeting project requirements.

Documentation and Transparency

Effective NCB processes rely on clear solicitation documents, documented evaluation procedures, and transparent contract award decisions consistent with the entity's procurement framework.

Demonstrating Fiduciary Reliability

Well-managed NCB processes provide evidence of competitive procurement practices, sound documentation, and compliance with established procurement procedures.





REQUEST FOR PROPOSALS (RFP)

Purpose of RFPs

Entities often use Requests for Proposals (RFPs) when procuring consulting services, where expertise, methodology, and experience are important factors in addition to cost.

Balancing Quality and Cost

RFP evaluations typically consider both technical quality and financial value, using criteria and weightings defined in the entity's procurement procedures.

Documentation and Evaluation

Key procurement records may include terms of reference, technical and financial proposals, evaluation reports, and documentation supporting the selection decision.

Transparency and Accountability

A well-managed RFP process promotes fairness, transparency, and value for money while helping ensure that the selected consultant is best suited to the assignment.





DIRECT CONTRACTING

Definition and Appropriate Use

Direct contracting (single-source procurement) may be used in limited and justified circumstances, such as emergencies, continuity requirements, or situations where only one supplier can meet the need.

Justification and Approval

Because competition is not used, direct contracting requires documented justification and approval in accordance with the entity's procurement procedures and delegated authorities.

Higher Fiduciary Risk

Direct contracting presents increased risks related to value for money, transparency, and fairness, requiring enhanced oversight and documentation.

Demonstrating Accountability

Entities should ensure that direct contracting remains exceptional, is fully documented, and can withstand internal, external, or accreditation review.





SELECTING AN APPROPRIATE PROCUREMENT APPROACH

Factors to Consider

- ▶ Nature and complexity of the goods, works, or services
- ▶ Estimated value
- ▶ Market availability and competition
- ▶ Procurement risks
- ▶ Internal procurement procedures and approval requirements

Key Principle

The procurement approach should be proportionate, competitive where possible, and consistent with the entity's procurement framework





WHAT REVIEWERS LOOK FOR IN PROCUREMENT SYSTEMS

International Competitive Bidding

The ability to manage ICB effectively provides evidence of strong procurement controls and institutional capacity.

National Competitive Bidding

Well-managed NCB processes demonstrate consistent application of procurement procedures and fiduciary controls.

Request for Proposals

Effective management of RFP processes demonstrates transparent consultant selection and sound procurement governance.

Direct Contracting

Appropriate use of direct contracting demonstrates the entity's ability to manage procurement exceptions responsibly and transparently.





SELF-ASSESSMENT & GAP ANALYSIS



PROCUREMENT SELF-ASSESSMENT CHECKLIST - PART 1

Written Procurement Policy

Having a documented procurement policy and procedures manual ensures clear guidance and standardization.

Delegation of Authority Matrix

A clear delegation of authority matrix defines roles and responsibilities within the procurement process.

Project Procurement Plan

Up-to-date procurement plans for each project enable effective planning and resource allocation.

Procurement Method Thresholds

Defined thresholds guide the selection of appropriate procurement methods to ensure compliance.





PROCUREMENT SELF-ASSESSMENT CHECKLIST - PART 2

Competitive Bidding Practices

Ensures competitive bidding is consistently applied above defined procurement thresholds to promote fairness.

Direct Contracting Justification

Requires direct contracting to be exceptional and documented with written justification for transparency.

Evaluation Criteria Consistency

Evaluation criteria must be documented clearly and applied consistently to all procurement activities.

Written Evaluation Reports

Written reports should be prepared for procurements above micro threshold to ensure accountability.





PROCUREMENT SELF-ASSESSMENT CHECKLIST - PART 3

Integrity and Conflict of Interest

Ensuring conflict-of-interest declarations maintains transparency and ethical procurement practices.

Contract Performance Terms

Inclusion of performance terms in contracts ensures clear expectations and accountability.

Records Retention

Retaining procurement records for at least five years supports transparency and audit readiness.

Complaint Mechanism

A documented complaint mechanism allows bidders to raise concerns and promotes accountability.





ENTITY PROCUREMENT GAP ANALYSIS TEMPLATE

Procurement Area	Status	Gap Description	Priority Action
Written procurement policy			
Delegation of authority			
Procurement plan			
Competitive bidding thresholds			
Direct contracting justification			
Bid evaluation process			
COI declarations			
Contract management			
Documentation retention			
Complaint mechanism			



COMMON PROCUREMENT GAPS IN ACCREDITATION

Policy and Documentation Gaps

Commonly, entities lack a written or updated procurement policy, leading to inconsistent practices and incomplete records.

Competition and Contracting Issues

Unjustified direct contracting and absence of evidence for competitive bidding often create transparency concerns.

Evaluation and Conflict of Interest

Evaluation criteria are often undocumented or inconsistently applied, with missing conflict-of-interest declarations compromising integrity.

Approval and Recordkeeping Weaknesses

Reliance on verbal approvals and incomplete records hinder audit trails and accountability in procurement processes.





ROADMAP AND KEY TAKEAWAYS



ROADMAP TO ACCREDITATION READINESS



Short-term Actions

Develop or update procurement policies and procedures, standardize procurement documentation, and clarify roles and responsibilities.

Medium-term Actions

Consistently apply procurement procedures, strengthen record-keeping, and implement oversight mechanisms to improve compliance and transparency.

Long-term Actions

Continuously enhance procurement systems, build staff capacity, and demonstrate effective procurement practices to support GCF accreditation.

Continuous Improvement

Regularly review procurement performance, address identified gaps, and update policies and practices in line with institutional needs and international good practice.



KEY TAKEAWAYS FOR PROCUREMENT REQUIREMENTS



Core Procurement Principles

Procurement is a fundamental fiduciary standard with four essential and non-negotiable principles.

Aligned Procurement Methods

Procurement methods must correspond to contract value and specific contextual requirements, limiting direct contracting.

Documentation and Compliance

Proper documentation serves as essential evidence to demonstrate adherence and compliance with procurement standards.

Self-Assessment & Gap Analysis

Self-assessment and gap analysis are crucial tools for evaluating readiness and strengthening procurement systems.



THANK YOU

Next Module

The next training stage will cover Project Management Capacity.



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